

SUBSIDIARY INFORMATION

LB MICROFINANCE MYANMAR

Strategy

Our strategy leverages specialised, seasonal agricultural finance while diversifying into targeted loans (trading, household, education) to meet client goals. We prioritise empowering our predominantly female clientele and capitalise on market opportunities through regional expansion and operational excellence, underpinned by strong non-performing loan management and technology adoption

Vision

To contribute to the development of sustainable and socially significant enterprises that improve the lives of the entire nation

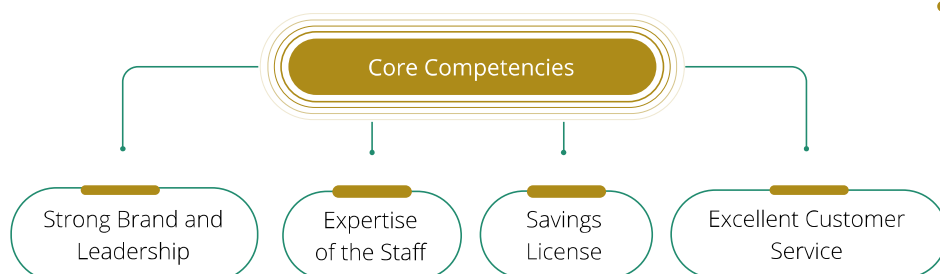
Mission

The mission of LB Microfinance Myanmar is to bridge the gap between ambition and achievement of the low-income individuals of Myanmar by providing financial assistance to creative entrepreneurs, value demanding consumers, and innovative business partners, through a robust microfinance model leading to the creation of businesses and markets, which mutually benefit LB Microfinance Myanmar and the poor communities of Myanmar

Our Products

Our core offering remains the traditional Microfinance Loan, designed to support clients at the grassroot levels. To serve clients who are more financially stable than typical microfinance borrowers, but for whom individual personal loans carry higher risk, we offer Group-based Loans. These are extended to established groups, typically comprising three individuals, with funds disbursed individually within a set collective limit. These loans are often used for trading and small business activities.

We further support enterprise growth through individual business loans. A dedicated Staff Loan product is also available for employees classified within the blue-collar segment. On the deposit side, we operate a compulsory savings scheme, which, in compliance with regulatory requirements, mandates that clients save 5% of their loan principal. Withdrawals from this account are tied to the loan cycle. In addition, we offer voluntary Savings accounts, which are available exclusively to customers who currently hold an active loan with our institution. This voluntary Savings product is offered only by microfinance institutions holding a special license.



Challenges/Opportunities	Our Response
Opportunity to deepen specialisation and grow within the agricultural sector, especially in Ayeyarwady region	2 new branches opened in Ayeyarwady region
Being one of only 38 licensed institutions (out of 182) allowed to accept voluntary savings	Tapping into the deposit potential in commercial centres, including Yangon
Overall, sector NPL is extremely high (over 27%)	Effective and close monitoring and management of NPLs
Heavy reliance (95%) on agriculture	Entry into related financing such as individual loans

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Strategic Imperatives

Deepen Agricultural Finance Specialisation	Client-centric Product Diversification	Leverage the Female Client Base	Capitalise on Market Opportunity and Regional Strengths	Enhance Operational Efficiency and Risk Management
Aligning loan products, disbursement timing, and repayment schedules precisely with the three distinct cultivation seasons for key local crops (paddy, sesame, peanut, beans) and the specific needs of animal husbandry clients, while exploring related opportunities including peanut value chain financing.	We are expanding our product suite beyond core agriculture to align with clients' expressed goals by offering targeted loans for small traders and financing business-related equipment. At the same time, we provide opportunities to earn income through our voluntary savings product.	Designing all aspects of operations (products, service delivery, communication, and staff training) to effectively serve and empower the predominant (95%+) female client base, utilising their networks and measuring impact holistically, including women's economic empowerment.	Capitalising on the favourable regulatory environment and limited foreign competition by marketing local expertise. Implementing distinct strategies for agricultural versus commercial (Yangon) regions including deposit focus where licensed, and pursuing systematic branch expansion in high-potential areas.	Optimising resources and operations (staffing, cash flow) to align them with agricultural seasonality, applying proven, NPL management techniques across the entire portfolio, and investing in appropriate technology to enhance efficiency and reach, particularly in rural areas.

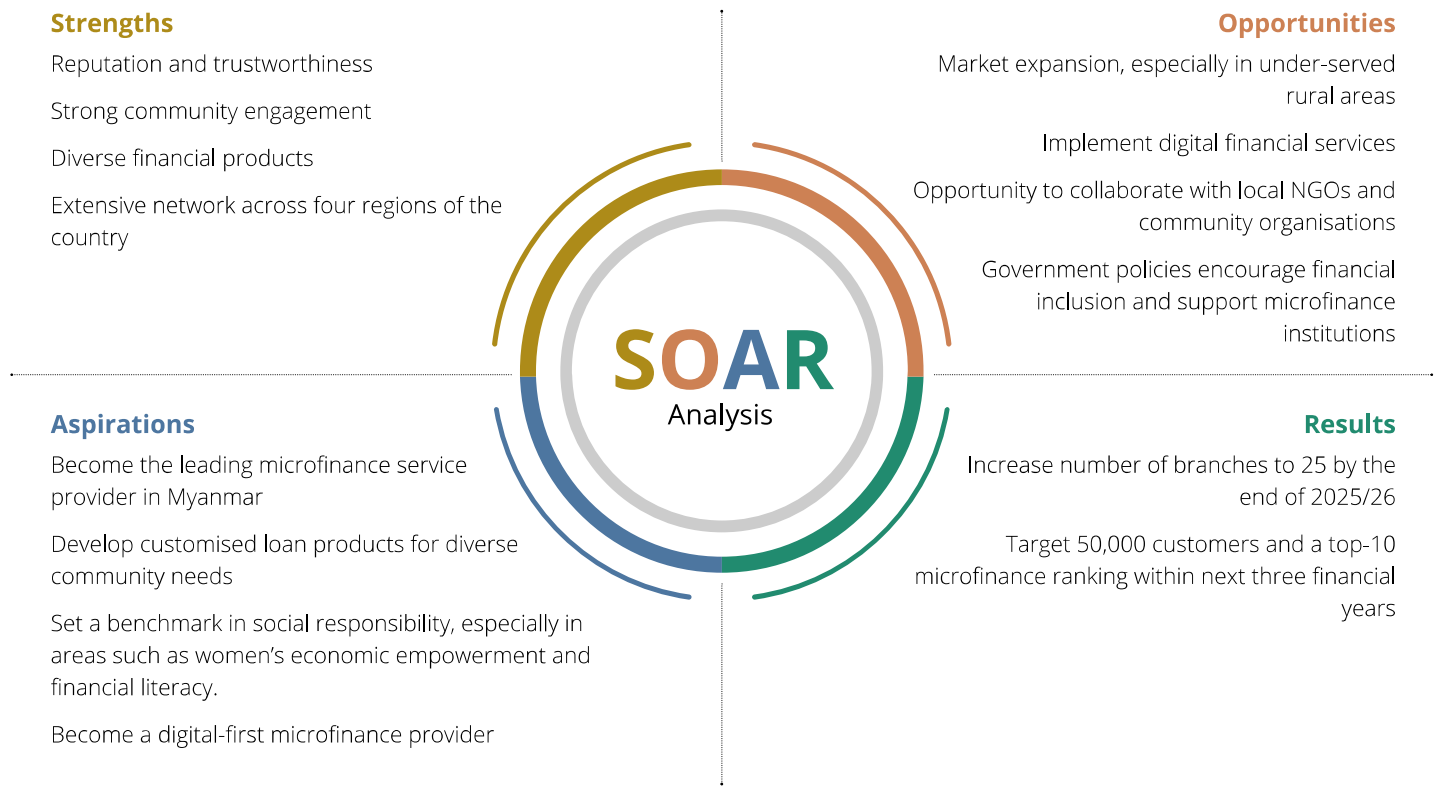
Regional Expansion Strategy

Yangon Region As Myanmar's primary commercial city, the Yangon Region presents a significant opportunity for deposit mobilisation and loan granting. Its dense population, active trade hubs, and relatively higher financial literacy make it an ideal environment for expanding both savings and credit products. We are one of only 38 microfinance institutions, out of 182 operating nationally, licensed to accept voluntary savings. Capitalising on this license and the region's commercial nature, our focus will be on deposit-taking activities, supported by the planned opening of new branches in here.	Ayeyarwady Region Our current operations in the Ayeyarwady Region encompass five branches, which have demonstrated exceptional portfolio quality with an NPL ratio of 0%. Based on this strong performance and the region's high agricultural potential, we are proceeding with plans to open few additional branches in this region.	Tanintharyi Region In addition to the above regions, we have received regulatory approval to establish new branches in the Tanintharyi Region, marking a strategic step in our regional expansion. Our initial operational focus will center on the local agricultural sector, with tailored financing for farmers engaged in the cultivation of Areca nuts, rubber, and other regionally significant crops. We will also offer financing options for the purchase of three-wheel vehicles, which are widely used for both transport and agricultural purposes.
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▶ VIDEO 13

Scan QR code to watch overview of Myanmar



ESG Impact and Compliance

Environmental Sustainability	Social Upliftment	Governance and Compliance
- Encourage customers to use digital channels for loan repayment - Actions taken to reduce paper usage in the business process	- Supporting women empowerment - Supporting agriculture and trading - Our financial products directly address improving health, living conditions, educational access, economic resilience, and future opportunities, empowering individuals and families to build better, more secure lives	- In compliance with the requirements of Finance and Regulatory Department that comes under Ministry of Planning and Finance, Myanmar - Report regularly to the Central Bank of Myanmar on anti-money laundering and terrorist financing - Follow a comprehensive Credit Policy in the loan granting process

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NPL Management

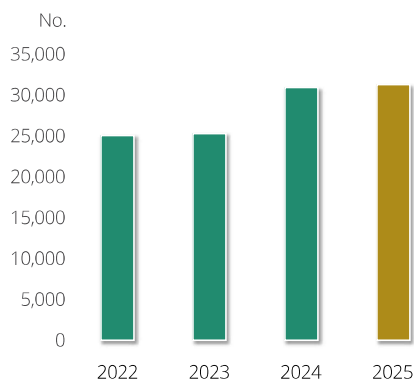
In a sector currently experiencing NPL levels exceeding 27%, LB Microfinance Myanmar maintained an overall NPL ratio of 7.48%. Notably, the portfolio segment comprising over 25,000 customers acquired since April 1, 2021, demonstrates exceptional health with an NPL rate of only 0.48%. This performance is supported by our disciplined approach to recovery management, which includes close monitoring overseen by a dedicated recovery manager, daily reporting structures, and consistent follow-up actions. Furthermore, our policy of potentially increasing facility limits based on customers' positive payment patterns serves as a key motivator for timely repayments.

Key Initiatives Implemented to Grow the Microfinance Operations and Customer Base

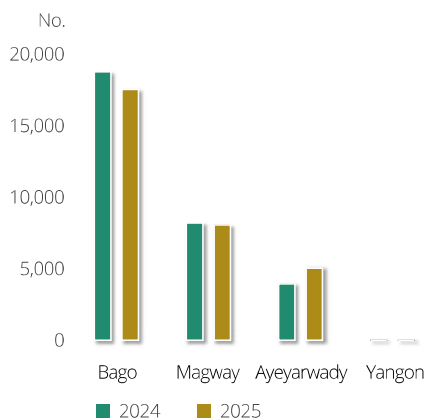
Enhancing Customer Service

- We integrated with leading digital payment providers, KBZ Bank and Wave Money, to streamline the loan repayment process. Customers are enabled to conveniently pay their instalments via their respective mobile wallets
- To improve client experience and increase operational efficiency, we have streamlined the documentation process, reduced paperwork and simplified loan application procedures without compromising compliance
- In parallel, we conduct regular staff training programmes focused on customer service, financial education, and responsible lending practices. These trainings ensure that frontline staff are well-equipped to provide clear guidance, build trust with clients, and respond effectively to their needs, ultimately enhancing customer satisfaction and long-term engagement

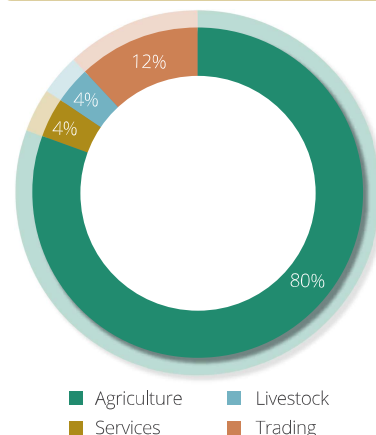
No. of Customers



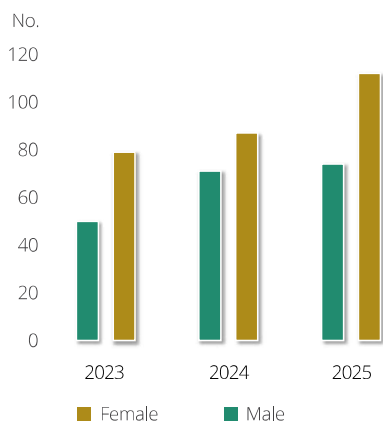
Region-wise Customers



Total Granting Sector-wise



Employee Based on Gender



Employees Gender Composition

